

A Cartel's Rise, and Its Limits

Lesson 29 — OPEC and the politics of oil after 1973

What you will know and be able to do

1

Explain OPEC's founding purpose and how it evolved after 1973

2

Describe the 1980s oil glut and why OPEC's own strategy helped cause it

3

Trace a surprising, genuinely global consequence of the 1986 price collapse

4

Evaluate how much real, lasting power OPEC has actually held over time

From one embargo to a longer story

Lesson 19 covered 1973's dramatic embargo. This lesson widens the lens: OPEC's founding, and what actually happened to its power and influence across the following decades.

Baghdad, September 1960

Five developing oil-exporting nations — Iran, Iraq, Kuwait, Saudi Arabia, and Venezuela — founded OPEC in Baghdad, asserting each country's permanent sovereignty over its own natural resources against the multinational companies then dominating the world oil market.

1979–80: prices spike again

The Iranian Revolution's disruption of oil exports, followed by the outbreak of the Iran-Iraq War in 1980, drove prices above \$35 a barrel — reinforcing, for a second time in a decade, the impression that Middle Eastern oil producers held decisive leverage over the world economy.

High prices sow the seeds of their own collapse

High prices spurred energy efficiency and conservation in industrial economies, while non-OPEC production surged from the North Sea, Alaska, Mexico, and a Soviet Union that became the world's largest oil producer. OPEC's share of world output fell from roughly 50% in 1979 to about 29% by 1985.

The 1986 price collapse

Tired of absorbing production cuts alone while other members exceeded their quotas, Saudi Arabia abandoned its role as the market's stabilising “swing producer” in 1985–86, dramatically raising output to punish higher-cost rivals and reclaim market share. Prices collapsed by roughly half within months, falling below \$12 a barrel.

How an oil price crash helped end the Cold War

The Soviet Union, by then a major oil exporter itself, lost an estimated \$20 billion a year in revenue as prices collapsed — income the regime had used to prop up its stagnating economy. Some historians argue this loss significantly accelerated the economic pressures that contributed to the Soviet Union's collapse just a few years later, a striking, indirect link between OPEC's internal politics and the end of the Cold War.

Debt crises, far from the Gulf

The price collapse also triggered Mexico's 1982 debt crisis and severe economic contraction in Venezuela, whose worsening conditions fed directly into the 1989 Caracazo protests. A decision made largely in Riyadh had concrete, damaging consequences on the other side of the world.

Coordinated cartel, or loose coalition of rivals?

OPEC's history shows real, demonstrated ability to move prices — but also chronic internal indiscipline, with member states routinely exceeding agreed quotas when it served their own short-term interests. Economic research finds OPEC's actual behaviour aims more at smoothing short-term price swings than controlling long-term market direction — a more modest, more contested form of power than 1973 alone might suggest.

A full essay attempt

'OPEC's influence over the world economy has been consistently overstated, given its members' own record of internal indiscipline.' To what extent do you agree?

- State your position and evaluative criterion clearly
- Use specific evidence: the 1973 embargo, the 1980s glut, and the 1986 collapse
- Address the counter-argument that even limited, occasional leverage can have enormous global consequences

Key terms from today

Swing producer

The member absorbing production cuts to stabilise prices for the whole group.

Quota indiscipline

Member states exceeding agreed production limits for their own short-term benefit.

1980s oil glut

The prolonged oversupply and price collapse that eroded OPEC's market share.

Indirect consequence

A significant effect the original actors did not intend or fully foresee.

What to remember

OPEC's founding sovereignty-focused mission gave way, after 1973, to a more complicated record of real but limited influence — undermined by its own members' quota indiscipline and non-OPEC competition, culminating in Saudi Arabia's 1986 price-collapsing gamble. That collapse's ripple effects, from Soviet economic strain to Latin American debt crises, show how far Gulf oil politics could reach well beyond the region itself.

Lesson 30 — The Iran-Iraq War, 1980–1988

Next lesson: the brutal, prolonged war that reshaped both Iran and Iraq, drew in outside powers on both sides, and reshaped Gulf politics for a generation.